

to Spend? How nature and nurture impact spending and borrowing habits', Shefrin claims that 'only 25 per cent of us are born with what you might call the "self-control gene" that makes us immune to spending temptation'. This suggests that the majority of us suffer from a lack of our old friend self-control when it comes to our spending and saving, something I see a lot in my line of work as a financial advisor and that we've already recognised in Part One.

Now, developing and cultivating self-control doesn't sound like a silver bullet or a radical finding but researchers are discovering that when it comes to how well we exercise self-control with our finances, understanding our nature matters.

To understand how this works, let's start by looking at research into the brain. Over the last few decades, scientists and researchers have begun to develop a deeper understanding of how the brain works, particularly when it comes to our decision making process. We now understand there are three main parts of the brain. The first is the cerebrum, the largest part of the brain, which controls our movements, thoughts, senses and emotions. The second is the cerebellum which is involved with our motor skills, helping us maintain posture and balance. The third is the brain stem, which is responsible for many of our automatic functions such as breathing, walking, digesting, sleep cycles, swallowing and more.

To explain how these three different parts of the brain interrelate, Shefrin uses the analogy of the elephant and its rider, which we'll keep returning to as we dive further into nature. Shefrin explains that the

way our brains make decisions can be equated to a human rider atop an elephant. The elephant represents our habitual, fast thinking processes—things like walking, breathing, brushing our teeth, taking care of simple chores. The elephant is strong yet difficult to control. The rider on the other hand represents our 'strategic' processes—activities like planning, list making, and other deliberate efforts to overcome our instincts. Often people try to guide their behaviour relying on rules of thumb, known as heuristics. However, our own biases lead to misjudgements often and put us on the wrong paths. The question we all wish to answer is: How do we